Onboarding Process

Before Getting Started

- Review proposal in Practice Ignition (Baker login in LastPass) and get an idea of when onboarding should be complete. The goal generally is to have onboarding complete by the mid-mortem date, but confirm with the Controller on what expectations are.
- Review Discovery Doc and Info Gathering Doc in Admin folder. This should give you some basic context on their company and books.

Needed for Onboarding

- Ensure you have the below. *Note, that not having all these items does not have to hold up starting on the 2.0 stage, but you will need each of these items to complete the onboarding process.*
    - From Onboarding Specialist (Tim)
        - QBO/Xero access
        - Access to each bank account, credit card account, loan account, PayPal account, Stripe account, etc (any account on the BS that has a statement). This access needs to include the ability to pull statements
            - We can substitute this with statements being provided by the client, but this is not ideal and should only be done if it is impossible to gain access.
        - Access to all benefit providers. Or if not possible, a process in which statements are provided each month by the client (sometimes they pay these bills through Bill.com so we already receive them)
        - Payroll provider access
        - Last filed tax return
        - Bill.com access/Bill.com account created
    - From Controller
        - Employee roster with department detail

Initial Financials Review

- Create an Onboarding folder in the Accounting Drive folder for the client
- Create a *Client Name* - Initial Financials Review Google Sheet within that folder

Tax Return/Balance Sheet Comparison

- Export a Balance Sheet as of the end of the year of their last tax return and add to Initial Financials Review sheet.
    - Typically our clients file cash basis returns, so you should pull a cash basis Balance Sheet.

- Compare Balance Sheet to Return. Typically you'll find the Balance Sheet information on the **Schedule L** - **Balance Sheets per Books**.
    - Add amounts from the return next to the corresponding Balance Sheet line and calculate the difference. Example - [2020 Tax Return Comparison tab](#).
    - Note that most lines are totals for multiple Balance Sheet accounts, like Cash includes all bank accounts. Sometimes a detail is included, if there is it will have a Statement indicated next to the line. You should be able to find this statement further down in the return (like in lines 18 and 24 in the screenshot below).

Schedule L	Balance Sheets per Books	Beginning of tax year		End of tax year	
	Assets	(a)	(b)	(c)	(d)
1	Cash		73,974.		821,614.
2 a	Trade notes and accounts receivable				
b	Less allowance for bad debts	( )		( )	
3	Inventories				
4	U.S. government obligations				
5	Tax-exempt securities				
6	Other current assets (att. stmt.)				
7	Loans to shareholders		22,390.		22,390.
8	Mortgage and real estate loans				
9	Other investments (att. stmt.)				
10 a	Buildings and other depreciable assets	21,173.		21,173.	
b	Less accumulated depreciation	(21,173.)	0.	(21,173.)	0.
11 a	Depletable assets				
b	Less accumulated depletion	( )		( )	
12	Land (net of any amortization)				
13 a	Intangible assets (amortizable only)				
b	Less accumulated amortization	( )		( )	
14	Other assets (att. stmt.)				
15	Total assets		96,364.		844,004.
	Liabilities and Shareholders' Equity				
16	Accounts payable				
17	Mortgages, notes, bonds payable in less than 1 year				
18	Other current liabilities (att. stmt.)	STATEMENT 4	107,819.		76,116.
19	Loans from shareholders				
20	Mortgages, notes, bonds payable in 1 year or more				
21	Other liabilities (att. stmt.)				
22	Capital stock				
23	Additional paid-in capital				
24	Retained earnings	STATEMENT 5	-11,455.		767,888.
25	Adjustments to shareholders' equity (att. stmt.)				
26	Less cost of treasury stock		( )		( )
27	Total liabilities and shareholders' equity		96,364.		844,004.

Form **1120-S** (2020)

- For balances that don't tie to the tax return, investigate. Talk with the Controller and confirm it is okay to make adjustments to the EOY balances to tie it out.

Balance Sheet Review

- Export a Balance Sheet by month for the period since the last tax return and add to the Initial Financials Review sheet.
- Go line by line and decide what needs to be investigated/adjusted.
    - I highlight these lines in yellow and make a note of what needs to be done.
    - I highlight in light green what the lines I believe to be correct at this point.
    - Once I've corrected a yellow line, I make it dark green.
    - Example - [Balance Sheet - Original tab](#).

        - It can be helpful to make a set of changes and then pull another Balance Sheet and review again. I keep each Balance Sheet and include the date pulled on the tab name so I can track changes.
    - Each Balance Sheet is different but below are some things to check. The goal is to ensure we have support for Balance Sheet balances.
        - Bank recs have been done properly for all bank accounts, credit card accounts, loan accounts, etc
        - All clearing accounts clear, including Undeposited Funds
        - Any A/R Aging over 90 days should be confirmed by the client to still be collectable
        - Any A/P Aging over 90 days should be confirmed by the client that still have need to pay
        - Prepaid Expenses meet threshold and are being properly amortized
        - Fixed Assets/Other Assets added since previous tax return meet threshold and are being properly depreciated/amortized monthly
        - Other Current Liabilities balances can be tied to something/clear regularly
            - Loans/Lines of Credit have interest split out and can be reconciled to a statement
        - Long-Term Liabilities have interest adjustments/accruals being made
        - Final Balance Sheet Example - Balance Sheet tab

Profit & Loss Review

- Export a Profit & Loss by month for YTD or last 6 months or so add to the Initial Financials Review sheet. We are not responsible for months prior to our engagement, but it can be helpful to review.
- Go line by line and decide what needs to be investigated/adjusted. I also note the accounts I want to rename or split between departments.
    - I highlight these lines in yellow and make a note of what needs to be done.
    - I highlight in light green the lines I believe to be correct at this point.
    - I highlight in grey the accounts I want to reclassify the transactions for and archive.
    - Once I've corrected a yellow line, I make it dark green.
    - Example - Profit and Loss - Original tab.
        - It can be helpful to make a set of changes and then pull another Profit and Loss and review again. I keep each Profit and Loss and include the date pulled on the tab name so I can track changes.
    - Each Profit and Loss is different but below are some things to check. The goal is to have direct costs split out from indirect costs and moved up into COGS and to have all income and expenses recognized in the correct period.
        - Revenue is recognized in correct period
        - Check month balances above $1250 and ensure no expenses should be prepaid or accrued

        - All payroll related expenses (Salaries & Wages, Payroll Taxes, Benefits, etc) are split between COGS, G&A, and S&M (if applicable).
        - All payroll related expenses are in correct period
        - All software expenses are split between COGS, G&A, and S&M (if applicable).
        - Interest and Depreciation is in Other Income/Expense
        - We like to streamline accounts as much as possible and group in a way that is easy to follow. Below are some examples with a detail of the changes made.
            - Wide Eye
            - TRIO (Profit and Loss Current & Profit and Loss Proposal tabs)
        - Final Profit & Loss Example - Profit and Loss tab

Support Creation/Documentation

- For the first month's close the expectation is to have support for all Balance Sheet balances and have the P&L meet GAAP standards. Below are some templates/examples for support
    - Statements
    - Stripe Clearing Account Reconciliation Template
    - Prepaid Expenses Template
    - Fixed Assets & Depreciation Template
    - Other Asset & Amortization Template
    - Accrued Payroll Template
    - Accrued Expenses Template
    - Loan Simple Interest Calculator & Schedule Template
    - Loan Compound Interest Calculator & Schedule Template
    - Accrued/Deferred Revenue
        - Invoice Based
        - Project Based
            - Projects Template (needed for process)
            - Examples of process
                - Mucho (QBO)

Process Documentation

External

- This is typically made and sent to the client in the first few weeks after the strategy session. The goal is to make sure we're on the same page with our clients on expectations on both ends. The expectation isn't to have everything perfect at this time, it's a "living" document and feedback and changes are welcome.
    - Playbook Examples (includes links to full Bill.com processes)
        - Lincoln Loop
        - Manufactur
        - DockYard

Internal

- Accounting Process doc created

Notes for Turning Over Accounting to Non-Upsourced Accountant

- Depending on the level of the accountant, we can make the initial changes and tell them what we did or give them specific directions of what to do and check it after. Either way, send a list of proposed changes before you make them to get "buy-in" and feedback. If we are making the changes on behalf of the accountant, *thoroughly* document all changes made so they aren't surprised by anything or unsure how to class transactions going forward.
    - Examples
        - New Theory
        - Wide Eye
        - TRIO (Profit and Loss Current & Profit and Loss Proposal tabs)
- An Accounting doc should still be made at the end for the Accountant to follow going forward.
    - Example - New Theory